

gets to punish his wife." That is not the purpose of a budget. The purpose of a budget is for a husband and wife to communicate how they're going to spend THEIR money, and then to have a guide to measure whether or not they're spending their money the way they have agreed they would. Many people think they have a budget, but in reality what they have is a detailed spending record. The only control they have over their spending is the balance in their checkbook. Obviously, that's better than borrowing to make up for overspending. But it is *not* a budget.

Developing a budget means more than just writing figures down on a piece of paper. It means sitting down and talking about your current situation, where you need to go, and constructively evaluating how you are going to get there. If you have children old enough to understand, they can be included in your budget discussion.

WHERE ARE WE?

A budget discussion must begin with your current situation. Perhaps you have never sat down and figured out exactly how much money you make and how much you spend every month. Most financial counselors have heard this response from couples who have filled out budget forms for the first time: "I know we don't spend that much money. Where does it all go every month?"

It probably goes into "Miscellaneous." Usually when a couple fills out their budget sheet for the first time, I know that approximately two thirds of the information will be accurate and one third totally inaccurate. The first two thirds of the sheet deals with fixed items such as the house payment, car payment, and insurance. But the last third, the miscellaneous category, deals with variables such as food, gas, and clothes.

Often couples estimate the miscellaneous category on the budget form to range from \$40-50 a month. Experience tells me that isn't so. Nearly everyone spends more than \$40-50 a month on miscellaneous items, especially those not living on a budget.